



Legrand

Placing on Positive Catalyst Watch into the CMD, growth should continue to accelerate

Legrand looks increasingly likely to compound revenue organically in the sector-leading Schneider Electric 7-10% range to the end of the decade, which compares to the 3-5% range offered at the 2024 CMD, which has been loosely upgraded to ~5% since and compares to consensus of c6% (JPMe: c8%). That said, we'd expect the company to maintain its typically conservative approach and most likely straddle consensus rather than looking to delight short-term market participants with an optically punchy guide. Based on our recent investor conversations, expectations are relatively muted and there are concerns regarding the data center portfolio alignment over the longer term too. We expect the company to give a reassuring message on growth and positioning at the CMD on September 29th, which should ultimately be positive for the shares which continue to screen too cheap – we therefore place the shares on Positive Catalyst Watch and reiterate our street high price target of €200 offering c40% upside on an 18 month view.

- **Growth building blocks:** One-third of group sales is data center, where the company has been growing at a c18% lfl CAGR since 2019, which has been accelerating of late, and the outlook (almost regardless of subsequent hyperscaler capex plans) should be in a 20-30%+ range to the end of the decade, in our view. This alone should contribute c 7-10% to group level growth. The other two-thirds of the business which is most notably exposed to EU resi and US office is already better than flat as of Q2 having been an enduring headwind over recent years. We would also note the company guided to €12-15bn of revenue come 2030 back in 2024, which was later refined closer to c€15bn; consensus is there (just), since which time the rate of compounding growth has been substantially higher than expected.
- **Profits:** Margin expansion is a recurring source of frustration for many investors, given that underlying expansion has been largely offset by margin-dilutive M&A in the recent past (albeit at attractive prices), but as a greater proportion of the group is in expansion territory, incrementals should become more evident. Pleasingly, this is not embedded in consensus either, and in the event of no change to margin guidance of 20-21% (consensus <21%), we struggle to see a material move lower in the shares, whereas a guide of say 21%+ would more likely see estimates and multiples move higher.
- **800v DC:** A key reason for hosting this CMD is for management to address head-on the perceived structural disadvantage as data center architectures evolve to 800 volt direct current. It is no secret at this point that the company has been working on a sidecar solution, we'd be surprised if anything additional was presented at the event itself, which is a well-held view of the buy-side too. However, we would fully expect the team to pull out all the stops for this event, with detailed explanations on the technology roadmap, to at least sew a sufficient seed of doubt to see the bear case become actionable again in 18-24 months timeframe, which was the same setup in 2024.
- **Positioning:** We're typically not advocates of being long into CMDs, the "travel and arrive" analogy is well documented, but the shares have so far done very little in both absolute and relative terms. Expectations seem muted, in our view, with a disproportionately low level of inbounds from investors ahead of

Overweight

LEGD.PA, LR FP

Price (04 Sep 26): €140.90

Price Target (Dec-27): €200.00

European Capital Goods

Phil Buller ^{AC}

(44-20) 3493-9403

phil.buller@jpmorgan.com

Jeremy Caspar

(44-20) 3493-5188

jeremy.caspar@jpmorgan.com

Akash Gupta

(44-20) 7742-7978

akash.z.gupta@jpmorgan.com

Chitrita C Sinha

(44-20) 7742-7176

chitrita.sinha@jpmorgan.com

Mariana Andrade

(44-20) 3493-9303

mariana.andrade@jpmorgan.com

J.P. Morgan Securities plc

Specialist Sales contact details:

Sam Edmunds - Specialist Sales - European Industrials

(44-20) 7742-8733

sam.edmunds@jpmorgan.com

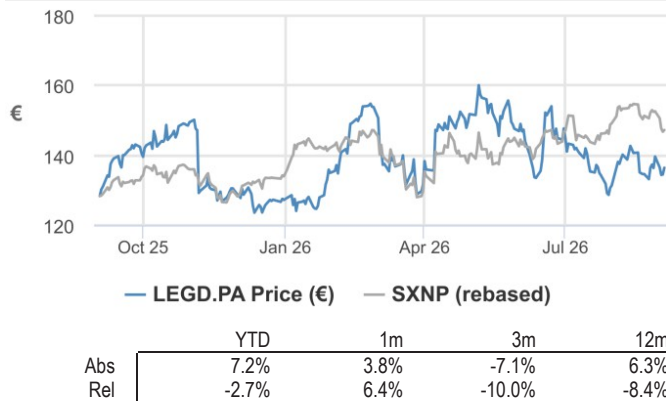
Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	89	85	81	83	73
Growth	55	37	61	33	
Momentum	12	68	27	34	34
Quality	44	57	53	57	56
Low Vol	49	61	33	14	4
ESGQ	35	40	14	36	58

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 8 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



Company Data

Shares O/S (mn)	267
52-week range (€)	166.95-121.95
Market cap (\$ mn)	43,704.51
Exchange rate	0.86
Free float (%)	99.7%
3M ADV (mn)	0.60
3M ADV (\$ mn)	97.3
Volatility (90 Day)	29
Index	SXNP Index
BBG ANR (Buy Hold Sell)	14 4 2

Key Metrics (FYE Dec)

€ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	9,481	11,031	12,105	13,061
Adj. EBITDA	2,224	2,692	3,036	3,336
Adj. EBIT	1,962	2,373	2,673	2,945
Adj. net income	1,358	1,629	1,862	2,080
Adj. EPS	5.10	6.11	6.99	7.81
BBG EPS	5.10	5.91	6.70	7.38
Cashflow from operations	1,529	1,976	2,107	2,376
FCFF	1,328	1,810	1,829	2,073
Margins and Growth				
Revenue Growth Y/Y (%)	9.6%	16.4%	9.7%	7.9%
EBITDA margin	23.5%	24.4%	25.1%	25.5%
EBITDA Growth Y/Y (%)	9.7%	21.0%	12.8%	9.9%
EBIT margin	20.7%	21.5%	22.1%	22.5%
Net margin	14.3%	14.8%	15.4%	15.9%
Adj. EPS growth	6.3%	20.0%	14.3%	11.7%
Ratios				
Adj. tax rate	25.9%	26.7%	26.0%	26.0%
Interest cover	24.1	18.7	19.6	25.2
Net debt/Equity	0.6	0.5	0.4	0.2
Net debt/EBITDA	1.9	1.6	1.1	0.6
ROCE	11.0%	11.6%	12.0%	12.4%
ROE	18.3%	20.9%	21.2%	21.2%
Valuation				
FCFF yield	3.5%	4.8%	4.9%	5.5%
Dividend yield	1.7%	2.0%	2.3%	2.6%
EV/Revenue	4.1	3.5	3.1	2.8
EV/EBITDA	17.4	14.5	12.5	11.0
Adj. P/E	27.7	23.0	20.2	18.0

Summary Investment Thesis and Valuation

Investment Thesis

- We believe Legrand is a high-quality franchise offering many favourable, long-term characteristics, including a strong execution track record, access to attractive low voltage profit pools and demonstrable pricing power, all underpinned by a relentlessly applied operating model. We believe datacenters will be the single most attractive end market in our coverage in the coming years. Legrand, at 30% is now higher than Schneider. Given Legrand's market position, we do not believe the market is fully reflecting the likely contribution from DC to Legrand's growth profile, and see incremental upside in the event of a European resi recovery and/or US core office. The stock looks attractively valued in absolute terms, albeit towards the higher end of recent historical averages. Importantly, however, the growth outlook in the years ahead is potentially materially different to that of the prior five years, which in our view justifies the current levels.

Valuation

- Our December 2027 Price Target is based on a reverse DCF valuation. The 12-month forward target multiple is 18.5x EV/adj. EBITA, applied to our 2027 forecasts. The multiple takes growth, margin, cost of capital and asset intensity into account.

Performance Drivers

Market	30%
Sector	21%
Macro	2%
Style	5%
Idiosyn.	41%

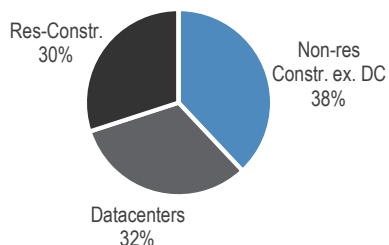
Factors	6M Corr	1Y Corr
Market: MSCI Europe ex UK	0.60	0.55
Sect: Industrials	0.63	0.52
Ind: Capital Goods	0.67	0.58
Macro:		
Citi Eco Surprise Eurozone	-0.11	-0.14
Markit Eurozone Comp PMI	-0.21	-0.13
Germany Govt 10Y Yield	-0.10	-0.08
Quant Styles:		
Size	0.40	0.25
Momentum	0.10	0.14
Growth	0.09	0.06

the event versus typical CMDs, and the understandably skeptical tone on the calls we have had on the name, we see the risk-reward as favourable near term, and undeservingly cheap on a fundamental basis too. Given the shares are now the cheapest of the large-cap electrical peer set, and having asked investors to travel all the way to Asia for this event, we wouldn't rule out a small buyback too, which would also be impressing an uncharacteristically positive message, in our view.

- **JPMe vs. Cons & Valuation:** For FY26, we model +9.7% OSG, essentially in line with BBG consensus (+9.8%), while our higher margin expectations (21.5% vs. BBG Cons 20.6%) leave us 4% ahead on absolute adj. operating profit. For 2027/2028E, our adj. EBIT is 5%/6% ahead of BBG consensus. In terms of valuation, the stock trades on c.22x P/E, a 9% premium to its five-year-average, while in relative terms vs. the electrical peers, it trades at a 13% relative discount to history.

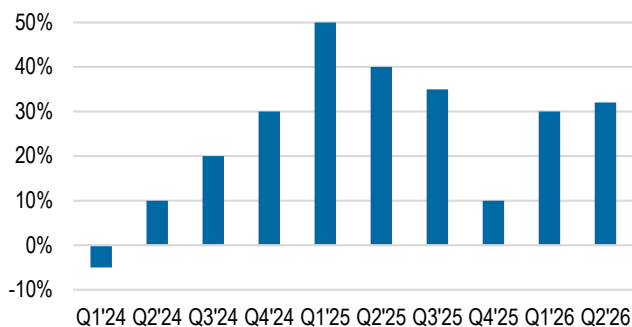
Legrand investment case in key charts

Figure 1: Legrand - Split by end-market, 2026E



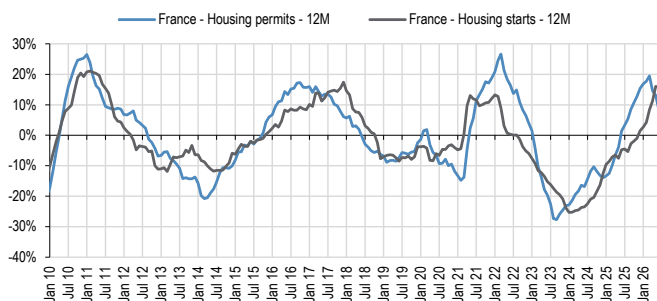
Source: Company reports and J.P. Morgan estimates.

Figure 2: Legrand - Datacenter growth rates



Note: 2019-2023 CAGR +17% o/w LFL +13%.
Source: Company commentary, J.P. Morgan estimates.

Figure 3: France - Housing starts and permits, 12M rolling y/y



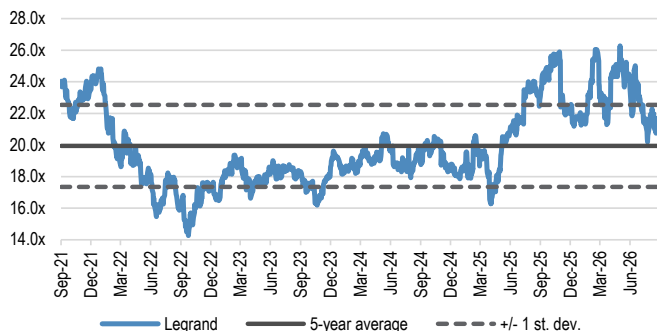
Source: INSEE, Bloomberg Finance L.P.

Figure 4: United States - Dodge Momentum Index



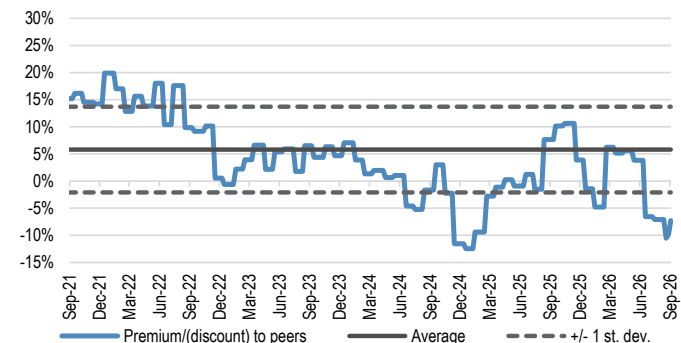
Source: Dodge Construction Network.

Figure 5: P/E 12m forward - Legrand vs. its own history



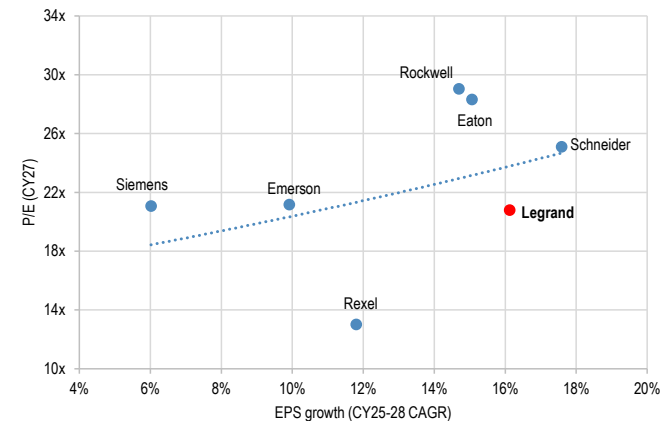
Source: Bloomberg Finance L.P.

Figure 6: P/E 12m forward - Legrand vs. Electrical peers



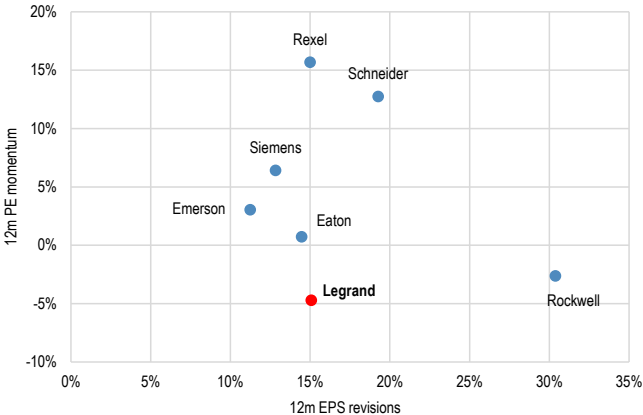
Source: Eikon.

Figure 7: Consensus P/E multiples (CY27) versus mid-term adjusted EPS growth estimates



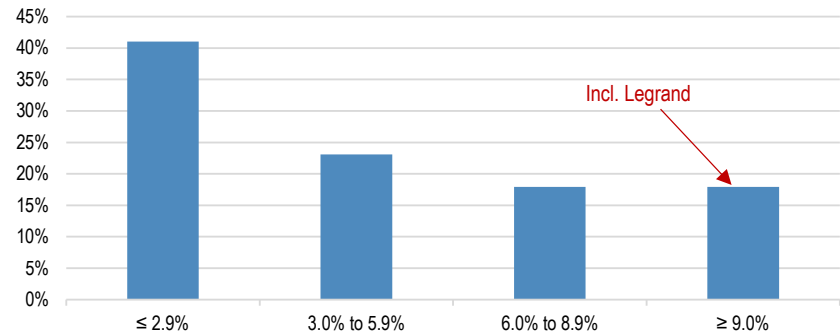
Source: Bloomberg Finance L.P.

Figure 8: 12-month EPS revisions versus 12-month P/E momentums



Source: Bloomberg Finance L.P.

Figure 9: Short interest distribution across our EU Capital Goods coverage



Source: J.P. Morgan.

Investment Thesis, Valuation and Risks

Legrand *(Overweight; Price Target: €200.00)*

Investment Thesis

- We believe Legrand is a high-quality franchise offering many favourable, long-term characteristics, including a strong execution track record, access to attractive low voltage profit pools and demonstrable pricing power, all underpinned by a relentlessly applied operating model. We believe datacenters will be the single most attractive end market in our coverage in the coming years. Legrand, at 30% is now higher than Schneider. Given Legrand's market position, we do not believe the market is fully reflecting the likely contribution from DC to Legrand's growth profile, and see incremental upside in the event of a European resi recovery and/or US core office. The stock looks attractively valued in absolute terms, albeit towards the higher end of recent historical averages. Importantly, however, the growth outlook in the years ahead is potentially materially different to that of the prior five years, which in our view justifies the current levels.

Valuation

- Our December 2027 Price Target is based on a reverse DCF valuation. The 12-month forward target multiple is 18.5x EV/adj. EBITA, applied to our 2027 forecasts. The multiple takes growth, margin, cost of capital and asset intensity into account.

Risks to Rating and Price Target

- **Datacenter market growth slows** versus high expectations, dragging on Legrand's growth potential, or remains lumpy as we saw in H1'24.
- **European resi remains weak** for longer than expected, although after such a protracted downturn, we see more upside than downside from current levels.
- **M&A pipeline slows**, dragging on the overall group growth profile, although we do not believe consensus models the consistent M&A roll-up story so this is likely immaterial.

Legrand: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	8,649	9,481	11,031	12,105	13,061	Net Profit for the cash flow	1,166	1,245	1,498	1,729	1,936
% Change Y/Y	2.8%	9.6%	16.4%	9.7%	7.9%	Depreciation & amortization	385	415	496	545	588
Operating Profit (Co. defined)	1,776	1,962	2,373	2,673	2,945	Changes in working capital	(75)	(139)	(22)	(166)	(148)
						Capex	(210)	(221)	(209)	(303)	(327)
Net Interest	(51)	(92)	(144)	(155)	(132)	PPE Disposals	-	-	-	-	-
Pre-tax Profit	1,578	1,691	2,049	2,336	2,616	FCF (JPMe)	1,284	1,328	1,810	1,829	2,073
Tax	(409)	(439)	(547)	(607)	(680)						
Tax Rate	25.9%	25.9%	26.7%	26.0%	26.0%	Acquisitions	(1,531)	(1,341)	(982)	0	0
Minorities	(3)	(8)	(3)	0	0	Divestures	-	-	-	-	-
Net Income Attributable to Shareholders	1,166	1,245	1,498	1,729	1,936	Dividends	(547)	(576)	(623)	(749)	(864)
						Purchase / Sale of shares	-	-	-	-	-
EPS (Co. defined)	4.79	5.10	6.11	6.99	7.81	Change in Net Debt	(796)	(672)	185	1,055	1,185
% Change Y/Y	0.0%	6.3%	20.0%	14.3%	11.7%						
DPS	2.20	2.38	2.86	3.30	3.69						
% Change Y/Y	5.3%	8.2%	20.1%	15.4%	12.0%						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	2,081	2,381	3,295	4,374	5,583	Gross margin	51.6%	50.8%	50.7%	51.0%	51.0%
Accounts receivable	1,051	1,227	1,434	1,574	1,698	Adj. EBITDA margin (co. defined)	23.4%	23.5%	24.4%	25.1%	25.5%
Inventories	1,321	1,467	1,489	1,634	1,763	Operating Profit margin (co. defined)	20.5%	20.7%	21.5%	22.1%	22.5%
Other current assets	2,880	3,188	3,462	3,747	4,000	Net profit margin	14.6%	14.3%	14.8%	15.4%	15.9%
Current assets	4,961	5,569	6,757	8,121	9,583						
PP&E	914	971	981	1,006	1,032	ROE	17.7%	18.3%	20.9%	21.2%	21.2%
LT investments	-	-	-	-	-	ROA	8.2%	8.1%	8.6%	9.0%	9.5%
Other non current assets	659	836	866	854	842	ROCE	10.9%	11.0%	11.6%	12.0%	12.4%
Total assets	16,075	17,593	20,120	21,258	22,475						
						Net debt/Equity	0.4	0.6	0.5	0.4	0.2
Short term borrowings	444	545	1,013	1,013	1,013	Net debt/EBITDA	1.5	1.9	1.6	1.1	0.6
Payables	1,012	1,119	1,213	1,332	1,437						
Other short term liabilities	1,120	1,221	1,390	1,390	1,390	Sales/Assets (x)	0.6	0.6	0.6	0.6	0.6
Current liabilities	2,576	2,884	3,617	3,735	3,840	Assets/Equity (x)	2.2	2.3	2.4	2.4	2.2
Long-term debt	4,643	6,059	6,711	6,711	6,711	Interest cover (x)	39.8	24.1	18.7	19.6	25.2
Other long term liabilities	4,810	6,237	6,936	6,976	7,016	Operating leverage	11.9%	109.1%	127.9%	129.9%	128.6%
Total liabilities	8,527	10,259	11,788	11,946	12,091	Tax rate	25.9%	25.9%	26.7%	26.0%	26.0%
Shareholders' equity	7,530	7,294	8,294	9,274	10,346	Sales growth (% y/y)	2.8%	9.6%	16.4%	9.7%	7.9%
Minority interests	18	40	38	38	38	Operating Profit growth (% y/y)	0.3%	10.5%	20.9%	12.6%	10.2%
Total liabilities & equity	16,075	17,593	20,120	21,258	22,474	EPS y/y Growth	0.0%	6.3%	20.0%	14.3%	11.7%
BVPS	28.74	27.84	31.65	35.39	39.48	Valuation					
y/y Growth	13.3%	(3.2%)	13.7%	11.8%	11.6%		FY24A	FY25A	FY26E	FY27E	FY28E
						P/E (x)	29.4	27.7	23.0	20.2	18.0
Net debt/(cash)	3,006	4,223	4,430	3,350	2,141	EV / Adj. EBITA (JPMe)	22.8	21.4	17.7	15.2	13.3
						EV / Adj. EBITDA (JPMe)	18.5	17.4	14.5	12.5	11.0
						Dividend Yield	1.6%	1.7%	2.0%	2.3%	2.6%

Source: Company reports and J.P. Morgan estimates.

Note: € in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Legrand (LEGD.PA, LR FP) Price Chart



Date	Rating	Price (€)	Price Target (€)
08-Dec-23	N	92.00	93
08-Jul-24	N	94.50	100
11-Sep-24	OW	97.82	115
28-Jan-25	NR	95.48	--
29-Aug-25	OW	130.80	165
12-Feb-26	OW	144.65	175
07-May-26	OW	160.10	180
26-Jun-26	OW	147.65	190
29-Jul-26	OW	129.15	200

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage May 18, 2006. All share prices are as of market close on the previous business day.

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